

lifestyle. He still lives in the same Omaha house he bought in 1958, he drives late-model American cars, and he much prefers cheeseburgers, Cokes, and ice cream to fancy cuisine. His only vice is his beloved private jet. “It’s not that I want money,” Buffett has said. “It’s the fun of making money and watching it grow.”¹ And, as we know from Chapter 1, these days he derives enormous pleasure from giving it away.

In a world where patriotism is too often turned into a shallow cliché, Warren Buffett is unabashedly bullish on the United States of America. He has never been shy to express his belief that the United States offers tremendous opportunity to anyone who is willing to work hard. He is upbeat, cheerful, and optimistic about life in general. Conventional wisdom holds that it is the young who are the eternal optimists and as you get older pessimism begins to tilt the scale. But Buffett appears to be the exception. And I think part of the reason is that for almost six decades he has managed money through a long list of dramatic and traumatic events, only to see the market, the economy, and the country recover and thrive.

It is a worthwhile exercise to Google the noteworthy events of the 1950s, 1960s, 1970s, 1980s, 1990s, and the first decade of the twenty-first century. Although too numerous to list here, the front-page headlines would include nuclear war brinkmanship; presidential assassination and resignation; civil unrest and riots; regional wars; oil crisis, hyperinflation, and double-digit interest rates; and terrorist attacks—not to mention the occasional recession and periodic stock market crash.

When asked how he navigates the treacherous episodes that can disrupt markets and inevitably scare away most investors, Buffett, with his folksy style, confesses he simply tries to be “greedy when others are fearful and fearful when others are greedy.” But I think there is much more to it. Buffett has a well-developed ability not merely to survive the dangerous times that make headlines, but to aggressively invest through these rough periods.

The Buffett Advantage

For years, academicians and investment professionals have debated the validity of what has come to be known as the efficient market theory. As you may remember from Chapter 6, this controversial theory suggests that